



CORPORATE OFFICE: THRISSUR
Business Development & Planning

PRODUCT GUIDELINES-LOAN AGAINST LIFE INSURANCE POLICIES
Updated as on 01.04.2025

LOAN AGAINST LIFE INSURANCE POLICIES - GUIDELINES

Product Name	Loan Against Life Insurance Policies
Nature of Facility	Term loan /OD
Type (Secured / Unsecured)	Secured
Product Code	OD against Life Insurance policy (132) Loan Against Life Insurance policy (559)
Purpose	Personal / Business
Loan Amount	Minimum: Rs.2 lac Maximum: Rs.300.00 lac
ROI	ROI, as announced under monthly interest rates circular for loan products /as communicated from time to time.
Processing Charges	As per Latest SOC for loans & Advances
Tenure	<u>For Overdraft:</u> 12 months/ Maturity date of the respective Life Insurance Policy whichever is earlier <u>For Term Loan:</u> Minimum loan period - 12 months Maximum Loan period- 60 months or Maturity date of the respective Life Insurance Policy whichever is earlier
Margin	25% on surrender value confirmed by the insurer Company. 10% in case of Staff Members of Dhanlaxmi Bank
Repayment	<u>For Overdraft:</u> Principal on demand. Interest to be serviced monthly. Surrender value should be adjusted to OD account on due date of the policy <u>For Term Loan:</u> Bullet Repayment at the time of loan maturity
Security	Life insurance policy assigned in favour of the bank. Only traditional life insurance policies (such as endowment, money-back, or whole life policies) are generally eligible for assignment. Policies like unit-linked insurance plans (ULIPs) shall not be accepted.

Eligibility Criteria	Eligible loan amount is arrived after deducting 25% margin from the surrender value confirmed by the insurer Company (10% in case of Staff Members of Dhanlaxmi Bank). The loan can only be availed against life insurance policies issued by the following approved companies based on the turn over and as recommended by the Associate Product Team : 1. Life Insurance Corporation of India (LIC) 2. SBI Life Insurance Company 3. HDFC Life Insurance Company 4. ICICI Prudential Life Insurance Co 5. Max Life Insurance Co 6. TATA AIA Life Insurance Co. 7. Kotak Mahindra Life Insurance 8. Aditya Birla Sunlife Insurance Co. 9. PNB Metlife India Insurance Co. 10. IndiaFirst Life Insurance Co. 11. Bajaj Allianz Life Insurance Co 12. Canara HSBC OBC Life Ins Co
Target Segment	Resident Indian: • Salaried • Professionals • Self Employed Non-Resident Indian (NRI) • For loans to Non-Resident Indian (NRI)/ Person of Indian Origin (PIO), Latest FEMA guidelines shall be applicable
Age Norms	Resident Indian • Minimum – 21 years • Maximum – 65 years at entry level Non-Resident Indian (NRI) The minimum age of applicant should be 21 years. The maximum age at entry level 60 years
Banking Norm	Applicant must have savings account with our bank.
Disbursements	Disbursement should be done to the Savings account of the policy holder with us maintained with us
Default Management	Two-Month Non-Payment Clause For Overdraft If the customer fails to pay two consecutive monthly interest, the branch must issue a notice by registered post acknowledgement due, to the borrower within seven days after the second missed payment stating that if within 30 days from the date of notice he fails to clear the dues of the loan, the policy would be surrendered without further reference to him.

Surrender of Policy

If the customer does not regularize the account within 30 days of the notice, the branch must initiate the process to surrender the assigned policy. A letter is to be addressed to the Life Insurance company for the purpose. It should contain inter-alia, a certificate to the effect that the policy is being surrendered after due notice to the policy holder. In such cases, the Life Insurance Company would pay the surrender value to the Bank without serving any notice to the policy holder. The proceeds when received should be appropriated towards the dues under the advance. All expenses should be recovered from the proceeds

Note:

The loan account must be closed using the proceeds from the surrendered policy value before the 90th day from the first missed installment and balance amount, if any, shall be credited to customer's SB account

For Term Loan

If the borrower fails to pay the policy premium, the branch must initiate the process to surrender the assigned policy after due notice to the borrower. Three overdue premium notices shall be served to the borrower with total time of 90 days to pay the premium. ie. 30 days (Overdue premium Notice), 30 days (Follow up Notice) and 30 days (Policy Surrender Notice). Policy shall be surrendered after 90 days from first notice, if premium is not paid by the borrower. First Notice (Overdue Premium Notice) shall be served after 30 days from premium due date. (Format of Notices annexed).

Surrender of Policy

A letter to be addressed to the Insurance company for the purpose. It should contain inter-alia, a certificate to the effect that the policy is being surrendered after due notice to the policy holder. In such cases, the Life Insurance Company would pay the surrender value to the Bank without serving any notice to the policy holder. The proceeds when received should be appropriated towards the dues under the advance. All expenses should be recovered from the proceeds.

In all cases, premium receipts should be regularly obtained and retained with the relative policies. The branch manager should ensure that premium is paid regularly.

Other conditions	The following points should be noted while accepting life policies as security: ➤ Normally, endowment policies, participating in profits should be preferred. ➤ Policies issued under Married Woman's property Act, 1874 should not be accepted ➤ Policies assigned to a Minor should not be accepted. ➤ The policy must have a surrender value, and it should be assigned to the bank as primary security. ➤ The policies where the premiums are paid for at least 3 years will be accepted. ➤ Advance to third party is not permitted ➤ The policy holder should give a letter addressed to the Life Insurance Company requesting them to furnish details of surrender value and bonus to the branch. It shall be collected along with loan application ➤ Before the advance is sanctioned, the Policy should be assigned by the insured in favour of the Bank ➤ The borrower should request Life Insurance Company by a separate letter to register the assignment in favour of the Bank and also declare that the policy has been assigned for valuable consideration. ➤ Branch should obtain standing instructions from the borrower to pay the Premium on the policy as and when they fall due. ➤ In all cases, premium receipts should be regularly obtained and retained with the relative policies. The branch manager should ensure that premium is paid ➤ On maturity of the policy, an application should be made to the Company in the prescribed format of respective insurance company forwarding the policy and a separate stamped receipt for maturity proceeds including accrued profits. The maturity dates should be diarized and claim papers should be forwarded in advance to the Life Insurance Company so that there is no delay in receipt of the policy amount on maturity ➤ When the advance is repaid, policy should be re-assigned in the name of the policy holder. For re assignment, re assignment form along with notice of re assignment shall be submitted to the company in the prescribed format of respective insurance company. Both forms shall be signed by the Manager and the Asst. Branch Manager jointly on behalf of the Bank
-------------------------	---

	General Conditions: ➤ CIBIL check to be done and deviations, if any, shall be as per DFP guidelines. ➤ KYC norms would need to be satisfied for all applicants, co applicants, guarantors, etc. as per the Common Operating Guidelines for KYC. ➤ Group exposure norms will be applicable as per the existing credit policy norms. ➤ The Applicant should not be in RBI defaulters list, Central Fraud Registry. ➤ End use declaration to be obtained from the borrower specifying the end use of the loan provided by us and that the loan shall not be used for any speculation, illegal activities, speculation in capital market / real estate, litigation or any other nefarious activities. ➤ Either of the office, residence or business unit of the borrower should be within geo limit of concerned branch
Sanctioning Authority	As communicated from time to time under DFP
Deviation matrix	As per latest Credit Policy
Death Claim Process	Upon policy holders' demise, branch must submit death claim intimation along with necessary supporting documents to insurance company for claim settlement. The proceeds when received should be appropriated towards the dues under the advance. All expenses should be recovered from the proceeds and the balance amount if any shall be passed on to the nominee
Documents to be taken	Completed Application form KYC document of Applicants/ Guarantor Any other relevant documents
Security documents	As per the documentation manual
Monitoring	As per Banks Monitoring policy
Post Disbursal Documents	As per Banks Monitoring policy
Service charges	As per existing norms given in schedule of charges

Annexure I
CHECK LIST.

Login checklist					
Sl No	Document	Requirement	Applicant	Co applicant / Guarantor	
1	Application Form	Fully Filled	Yes	Yes	
2	KYC Documents	Address Proof	Yes	Yes	
		Identify Proof	Yes	Yes	
3	Life insurance policy – Original	Should be assigned	Yes	Yes/ NA	
Pre-Disbursement Checklist					
1	Loan Documents	As per extant guidelines/MOD issued by legal report	Applicant	Co applicant / Guarantor	
		1 Demand Promissory Note	SD[C]-1(A)	Yes	Yes/NA
		2 DP Note Delivery Letter	SD[C]-2	Yes	Yes/NA
		3 Agreement for Pledge of securities	SD-[G]-11(E)	Yes	Yes/NA
		4 Guarantee (if prescribed)	SD[C]-4	No	No/Yes
		5 Specimen of Assignment of Life Insurance Policy	Annexure II	Signature of Assured person shall be taken	
		6 Letter of Assignment to the Life Insurance Company	Annexure III	Signature of Assignor shall be taken	
		7 Other Ancillary documents as per sanction			
Post Disbursement Checklist For New Loan					
1	ROD	ROD to be submitted by the branch head within 2 days from the date of disbursement		Yes	
2	Post Sanction Compliance report	Post Sanction Compliance Report to be submitted within 30 days		Yes	
3	Monitoring	Monitoring of the facility to be done as per Credit Monitoring Policy		Yes	

Assistant Branch Manager

Branch Manager

ANNEXURE 1



Branch_____

Demand Notice

Date_____

To,

Dear Sir/Madam

Sub: Overdue Premium Payment of Policy

Number_____

We refer to the above-mentioned policy assigned to us as security of your Loan Against life Insurance Policy, Loan account number_____. The premium was due for payment on _____ and remain unpaid.

We here by demand you to pay the overdue premium amount of Rs. _____ within 30 days from the date of this notice and submit the premium receipts to us.

Kindly ignore this notice, if you have already paid the dues.

For Dhanlaxmi Bank Ltd.

Authorised Signatory

ANNEXURE 1



Branch _____

Reminder Notice

Date _____

To,

Dear Sir/Madam

Sub: Overdue Premium Payment of Policy
Number _____

We refer to our demand notice dated _____ regarding the overdue premium payment of Rs. _____ for the above-mentioned policy.

It is observed that you have not paid the premium overdue till date despite our demand notice.

You are requested to pay the premium within 30 days of this notice, failing which Bank will be forced to issue Policy surrender Notice to surrender the policy and close the loan outstanding.

Kindly ignore this notice, if you have already paid the dues

For Dhanlaxmi Bank Ltd.

Authorised Signatory

ANNEXURE 1



Branch_____

Policy surrender Notice (Regd with A/D)

Date_____

To,

Dear Sir/Madam

Sub: Overdue Premium Payment of Policy

Number_____

We refer to our demand notice dated _____ and the reminder notice dated _____ regarding the overdue premium payment of Rs. _____ for the above-mentioned policy.

It is observed that you have not paid the premium overdue till date despite our demand notice dated _____ and reminder Notice dated _____ in this regard.

We hereby demand that you pay the overdue premium amount of Rs. _____ immediately.

Failure to receive the premium within 30 days of this notice, Bank will be constrained to surrender the policy and adjust to outstanding loan amount.

Kindly submit the premium paid receipt, if you have already paid the dues.

For Dhanlaxmi Bank Ltd.

Authorised Signatory

ANNEXURE II

SPECIMEN OF ASSIGNMENT OF LIFE INSURANCE POLICY

I, do hereby absolutely assign for valuable consideration, all my rights, title, and interests in the within Policy No. issued by the Life Insurance Company Unit of my (name of unit) life assuring the sum of Rs. to Dhanlaxmi Bank Ltd., its successors and assigns, whose receipt will discharge the Life Insurance Company from all liabilities in respect of his policy for all intents and purposes as effectually as if such receipt was signed by myself, my executors, or administrators.

Signed and witnessed at this day of Two Thousand and

Witness:

Signature:

Designation:

Address:

Signature of assured

ANNEXURE III

LETTER OF ASSIGNMENT TO THE LIFE INSURANCE COMPANY

Dear Sir,

Re: Policy No. for Rs.

I hereby give you notice that I have assigned absolutely the above policy/policies to Dhanlaxmi Bank Ltd. on Please acknowledge receipt of this notice and forward the policy/policies to the Dhanlaxmi Bank Ltd under advice to me/us after registering the absolute assignment thereon in your books.

Yours faithfully,

.....
Signature of Assignor